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CEA and Hostel Subsidy

DISCLAIMER: *This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and the inclusion of recent changes, amendments, and updates to the relevant Acts, Rules, and Regulations, this document is intended as a study aid only. Readers and students are strongly recommended to refer to official government sources or gazettes for the most reliable and authoritative information.*

Children Education Allowance and Hostel Subsidy

1. Applicability and Child Limits

The reimbursement of Children Education Allowance/Hostel subsidy can be claimed only for the two eldest surviving children with the exception that in case the second child-birth results in twins/multiple birth. In case of failure of sterilization operation, the CEA/Hostel Subsidy would be admissible in respect of children born out of the first instance of such failure beyond the usual two children norm.

2. Children Education Allowance (CEA) Rates

The amount for reimbursement of Children Education Allowance will be Rs. 2812.50/- from **01.01.2024** per month (Fixed) per Child.

 **LEGISLATIVE NOTE:** Substituted for "Rs. 2250/-" due to Dearness Allowance reaching 50%, effective **01.01.2024**.

The amount of **Rs. 2812.50/-** from **01.01.2024** is fixed irrespective of the actual expenses incurred by the Govt. Servant.

 **LEGISLATIVE NOTE:** Substituted for "Rs. 2250/-" due to Dearness Allowance reaching 50%, effective **01.01.2024**.

3. Documentation for CEA

For the claim reimbursement of CEA, The Govt. servant should produce a certificate issued by the Head of the Institution for the period/year which claim has been preferred. The certificate should confirm that the child studied in the school during the previous academic year. If Certificate is not obtained, the Govt. servant can produce Self-Attested copy of the report card or self-attested receipt(s) including e-receipt (s) confirming/indicating that the fee deposited for the entire academic year can be produced as a supporting document to claim CEA. The period/year means academic year i.e., **twelve months** of complete academic session.

4. Hostel Subsidy Rates

The amount of ceiling of Hostel subsidy is Rs. 8437.50/- from **01.01.2024** for an academic year.

 **LEGISLATIVE NOTE:** Substituted for "Rs. 6750/-" due to Dearness Allowance reaching 50%, effective **01.01.2024**.

5. Documentation for Hostel Subsidy

A certificate from the Head of Institution confirming that the child studied in the school and also certificate should mention the amount of expenditure incurred by the Govt. servant towards lodging and boarding in the residential Complex. If Certificate is not obtained, the Govt. servant can produce Self-Attested copy of the report card or self-attested original receipt(s)/ e-receipt (s) which should indicate the amount of expenditure incurred by the Govt. Servant towards lodging and boarding in the residential complex can be produced for claiming Hostel Subsidy. The expenditure on boarding and lodging or the ceiling of Rs. 8437.50/- from **01.01.2024** whichever is lower, shall be paid to the employees as Hostel Subsidy.

 **LEGISLATIVE NOTE:** Substituted for "Rs. 6750/-" due to Dearness Allowance reaching 50%, effective **01.01.2024**.

6. Rates for Divyang (Differently Abled) Children

The reimbursement of Children Education Allowance for Divyang Children of Govt. employees shall be payable at double the normal rate of CEA. i.e., Rs. 5625/- from **01.01.2024** per month (Fixed).

 **LEGISLATIVE NOTE:** Substituted for "Rs. 4500/-" due to Dearness Allowance reaching 50%, effective **01.01.2024**.

7. Dearness Allowance (DA) Linked Enhancements

The above rate/ceiling would be automatically raised by 25% every time the Dearness allowance on the revised pay structure goes up to 50%.

8. Concurrent Claims and Spouse Rules

The Hostel Subsidy and Children Education allowance can be claimed concurrently. In case both the spouses are Govt. Servants, only one of them can avail reimbursement under Children Education Allowance and Hostel Subsidy.

9. Frequency of Reimbursement

The reimbursement of CEA and Hostel subsidy will be done just one in a financial year after completion of the financial year.

10. Distance Criteria for Hostel Subsidy

Hostel Subsidy is applicable only in respect of the child studying in a residential education institution located at least **50 KM** from residence of the of the Government servant. It is further clarified that the grant of hostel subsidy is not related to transfer liability of Government servant.

11. Performance and Class Repetition

The reimbursement of Children Education Allowance and Hostel Subsidy shall have no nexus with the performance of the child in his class. If a child fails in a particular class, the reimbursement of CEA/Hostel Subsidy shall not be stopped. If the child is admitted in the same class in another school, although the child has passed out the same class in previous school or in the mid-session, CEA shall not be reimbursable.

12. Death of Government Servant

If a Govt servant dies while in service, the CEA or Hostel Subsidy shall be admissible in respect of his/her Children subject to observance of other conditions for its grant provided the wife/Husband of the deceased is not employed in service of the Central Govt., State Govt., Autonomous bodies, PSU, Semi Govt. Organization such as Municipality, and other organization funded by Central/State Govt. In such cases the CEA/Hostel Subsidy shall be payable to the children till such time the employee would have received the same, subject to the condition that other terms and conditions are fulfilled. The payment shall be made by the office in which the Govt. Servant was working prior to his death.

13. Retirement, Discharge, or Dismissal

In case of retirement, discharge, dismissal or removal from service, CEA/Hostel Subsidy shall be admissible till the end of the academic year in which the Govt. Servant ceases to be in service due to retirement, discharge, dismissal or removal from service in the course of an academic year. The payment shall be made by the office in which the Govt. Servant worked prior to retirement, discharge, dismissal, or removal from service.

14. Age Limits for Claim

The upper age limit for Divyang children has been set at **22 years**. In case of other children, the age limit will be **20 year** or till the time of passing **12th class** whichever is earlier. There shall be no minimum age.

15. Age Limit Midway Through Session

If a child completes **20/22 years** half way through the academic session, the CEA/ Hostel Subsidy is admissible till the end the academic session.

16. Applicable Classes and Affiliation

Reimbursement of CEA and Hostel Subsidy shall be applicable for children from class nursery to twelfth, including classes eleventh and twelfth held by junior Colleges or School affiliated to Universities or Boards of Education. CEA is allowed in case of children studying through "Correspondence or Distance Learning" subject to conditions laid down herein. The CEA and Hostel subsidy is admissible in respect of Children studying from three classes before class **1st to 12th Standard** (irrespective of class nomenclature as per NEP- 2020) and also for initial **two year** of a diploma/Certificate course from Polytechnic /ITI /Engineering College, if the child pursues the course after passing **10th standard** and the Govt servant has not been granted CEA/Hostel Subsidy in respect of the child for studies in **11th and 12th standards**.

17. Recognition Criteria for Unaffiliated Schools

In respect of Schools/Institutions at nursery, primary and middle level not affiliated to any board of education, the reimbursement under the scheme may be allowed for the children studying in a recognized school/institution. Recognized School/institution in

this regard means a Govt. School or any education institution whether in receipt of Govt. Aid or not, recognized by the Central or state Govt. or Union Territory Administration or by university or a recognized educational authority having jurisdiction over the area where the institution/school is situated.

18. Special Provisions for Divyang Children Institutions

In case of a Divyang child studying in an institution i.e., aided or approved by the Central/State Govt. or UT Administration or whose fees are approved by any of these authorities, the children education Allowance paid by the Govt. Servant shall be reimbursed irrespective of whether the institution is 'Recognized' or not. In such cases the benefits will be admissible till the child attains the age of **22 years**.

19. Children Studying in Nepal and Bhutan

The CEA is payable for children of all Central Govt. employees including citizens of Nepal and Bhutan, who are employees of Govt of India, whose children are studying in the native place. However, a certificate may be obtained from the concerned Indian Mission that the school is recognized by educational authority having jurisdiction over the area where the institution is situated.

20. Admissibility During Leave and Suspension

The Children Education Allowance or Hostel Subsidy shall be admissible to a Govt. Servant while he/she is on duty or is under suspension or is on leave (Including Extra ordinary leave). Any period which is treated as "dies non" the Govt. servant shall not be eligible for the CEA/Hostel Subsidy for that period.

21. Effective Date

These above instructions would come into effect from **1st July 2017**.